

Cord Meyer's Bay Terrace Build Shows As-of-Right Density Is the Cheapest Capital in Queens

145 rental units atop a shopping center reveal how land control and zoning certainty unlock construction financing.

The most important detail in Cord Meyer Development's ground-up rental project at Bay Terrace Shopping Center is not the 145 units, the five-story massing, or the rooftop terraces. It is the phrase "as-of-right." In a market where construction financing has become a lender's privilege rather than a borrower's right, as-of-right zoning is the cheapest form of capital a developer can hold.

It eliminates the most expensive variable in the development equation: time spent waiting for entitlements. Cord Meyer is building three five-story residential buildings on two surface parking lots at the southwest corner of its 326,445-square-foot shopping complex in Bayside, Queens. The project will add 145 rental units to a retail property the developer already controls. That control is the second critical variable.

Construction debt is available today, but only for sponsors who can show a clear path to completion and lease-up. Lenders are underwriting execution risk more aggressively than at any point since 2022. A developer building on land it already owns, under zoning it already holds, with a general contractor and design team already in place, presents a fundamentally different risk profile than a sponsor chasing a rezoning or a ground lease.

Cord Meyer is not taking entitlement risk. It is taking construction risk, which is manageable. The distinction matters because it explains why this project is breaking ground while others in Queens remain in the permitting pipeline. The capital stack for this project is not public, but the structure is inferable.

A developer with Cord Meyer's track record, building as-of-right on owned land, can access bank construction loans or private credit at spreads that would be unavailable to a sponsor with a longer timeline and more uncertainty. The lender is underwriting the sponsor's balance sheet and the project's zoning certainty, not a speculative thesis about future density. The retail component matters too.

Bay Terrace Shopping Center is a functioning asset with existing cash flow. That cash flow can support the development carry during construction, reducing the need for a large interest reserve. It also gives the lender a secondary source of repayment if the residential component faces delays. That is not a feature every ground-up project can offer. The 145 units will be one- to three-bedroom rentals, many with private terraces or balconies.

The buildings will include below-grade parking with electric vehicle charging stations, a clubhouse, lounges, and rooftop terraces. These are not luxury amenities by Manhattan standards, but they are competitive for the Bayside submarket, where new supply is limited and demand from households priced out of eastern Queens and western Nassau County remains steady. The project replaces surface parking, not existing leasable retail. That is a capital-efficient trade.

Surface parking generates minimal income relative to the land value. Replacing it with 145 units of rental housing increases the site's net operating income without cannibalizing the shopping center's existing tenant revenue. The newly configured road connecting the buildings to the existing parking garage suggests the developer is preserving the retail functionality while densifying the site. Who benefits from this project? Cord Meyer benefits by monetizing underutilized land within its existing portfolio.

The lender benefits by financing a low-execution-risk project with a credible sponsor. Future tenants benefit from new rental supply in a supply-constrained submarket. The city benefits from as-of-right density that adds housing without requiring public subsidy or discretionary approval. Who is exposed? Competing developers in Queens who are still pursuing rezonings or relying on 421a or its successor programs. Those projects face timeline risk that this project does not.

If interest rates remain elevated through 2027, the advantage of as-of-right construction will compound. The market should watch whether this project attracts construction debt from a bank or a private credit lender. A bank loan would signal that regional and community banks are willing to finance well-structured ground-up projects again. A private credit loan would confirm that the non-bank lending market is filling the gap left by retrenching banks.

Either outcome is informative. As-of-right zoning is not a development strategy. It is a financing strategy. Cord Meyer is building because it can get the capital to build. That is the only signal that matters.

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